IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 29/BB/2018
Under Section 230 to 232 of the Companies Act, 2013

In the matter of
M/s. JOHN CRANE SEALING SYSTEMS INDIA PRIVATE LIMITED
No. 11, 1st Phase,
Peenya Industrial Area,
Bengaluru – 560058 - **Applicant Company No.1/Transferee Company**

WITH

M/s. JOHN CRANE FLEXIBOX (INDIA) PRIVATE LIMITED
No. 10-B, 1st Phase, Peenya Industrial Area,
Bengaluru – 560058 - **Applicant Company No.2 / Transferor Company**

Coram: Hon'ble Shri Rajeshwara Rao Vittanala, Member (Judicial)

For the Applicant : Shri Udayashankar, Advocate

Date of Order : **11th May, 2018**

Per: Rajeshwara Rao Vittanala, Member (Judicial)

O R D E R

1. The Company Application bearing No. CA (CAA) No 29/BB/2018, is filed by **John Crane Sealing System India Private Limited** and another, under Sections 230-232 and other applicable provisions of the Companies Act, 2013 along with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016, by inter-alia, seeking to convene the meeting of the Shareholders of M/S. John Crane Sealing Systems India Private Limited, Applicant No 1 Company and M/S. John Crane Flexibox (India) Private Limited /Applicant Company and Unsecured creditors of Applicant No.1 Company for the purpose of considering the scheme of Amalgamation.

2. Brief facts, leading to filing of the present Company Application, are as follows:-

(A) Details of Applicant No.1 Company:-

(1) The Applicant No. 1 Company John Crane Sealing Systems India Private Limited is a Private Limited Company having its registered office at No.11, 1st Phase, Peenya Industrial Area Bengaluru, Karnataka-560058. Originally the Applicant Company No. 1 was incorporated as John Crane Engineered Sealing Systems Limited in 1995. Subsequently, the name of the company was changed to John Crane Sealol (India) Limited on 13 January 1999. Later the company was converted into a private limited company with effect from 12th June 2003. The name of the company was further changed to John Crane Sealing Systems India Private Limited on 12th September 2003 and the main objects of the Applicant Company No. 1 are: to carry on the business of manufacture, process, import, export, buy, sell and to act as stockists and distributors of and dealers in India and elsewhere in all kinds of flexible metallic and semi metallic packings, mechanical seals of every description, Sealing Systems including those for Ships and marine industry, specialty polymers and gaskets for heat exchangers, petrochemicals, food processing, refrigeration, health care industries, aerospace industry, Gas Seals, welded metallic bellows, gland packings of every description, gadgets of all kinds, tools, parts, equipments, oil circulation systems and all or other types of engineering goods, related to all rotating shaft equipments, pumps - compressors, blowers, turbo expanders, steam turbines, agitators and pulpers, for petrochemical, fertilizer, power plants, cement, refineries, paper and pulp synthetic fibre, chemical, automobile, food and drug industries Ships and any other industry using rotating equipments as shown in Certificate of Incorporation, Memorandum and Articles of Association.

(2) The Authorised Share Capital of the Applicant No.1 Company is as follows:

Particulars	Amount (in Rupees)
Authorized share capital of 75,00,000 equity shares of Rs. 10 each	7,50,00,000
Issued, subscribed and paid up equity share capital of 75,00,000 equity shares of Rs 10 each	7,50,00,000

(3) The Audited Financials of Applicant No.1 Company as on 31-03-2017 are filed with the Application. The Board of Directors of the Applicant No.1 Company has approved the Scheme of Amalgamation at its meeting held on 05-04-2018.

(4) There are 2 (two) equity shareholders Applicant No.1 Company as on 22 January 2018 as shown in certificate of the Chartered Accountant, there are no Secured Creditors as on 22nd January 2018.

(5) There are 205 (Two hundred and five) unsecured creditors of the Applicant No. 1 Company with the value of Rs. 21,25,42,135/- (Rupees Twenty one Crore Twenty Five Lakh Forty Two Thousand One Hundred and Thirty Five only) as on 22 January 2018 as shown in the certificate of the Chartered Accountant for the Applicant No.1 Company.

(B) Details of Applicant No.2 Company:-

(1) The Applicant No. 2 Company was initially incorporated as Triveni Flexibox Private Limited in 1994. Subsequently, the name of the company was changed to John Crane Flexibox (India) Private Limited on 28 March 2003 having CIN : **U05190KA2002PTC030994** and the main objects of the Applicant No. 2 Company is to manufacture, assemble design and engineer, produce, install, market, erect, sell, repair, operate, lease, licence, buy, import, export, overhaul, maintain, distribute, commission, supervise, trade in and deal with mechanical.seals, flexible power transmission couplings, sealing systems, safety devices and other related products; To

design and engineer, manufacture, produce, install, market, erect, sell, repair, operate, lease, license, buy, import, overhaul, maintain export, distribute, commission, supervise, trade in and deal with, in general all manner of specialized services and products relating to marine applications, continuous process plants in the oil refinery, offshore oil, chemical and petrochemical, pharmaceutical, food and power generation industries as shown in Certificate of Incorporation, Memorandum and Articles of Association.

(2) The Share Capital of Applicant No. 2 Company is as follows:

Particulars	**Amount (in Rupees)**
Authorized share capital of 10,00,000 equity shares of Rs. 10 each	1,00,00,000
Issued, subscribed and paid up equity share capital of 9,80,010 equity shares of Rs 10 each	98,00,100

The Applicant No.2 Company has produced the Audited Financials as on 31-03-2017 and the Provisional Unaudited Financials of the Applicant No. 2 Company as on 22-01-2018 are filed with the Application.

(3) The Board of Directors of the Applicant No. 2 Company has approved the Scheme of Amalgamation at its meeting held on 5th April 2018.

(4) There are only 2 (two) equity shareholders as on 22 January 2018 in the Applicant No. 2 Company as certified by the Chartered Accountant. There are no secured creditors as on 22nd January 2018 of the Applicant No. 2 Company as certified by the Chartered Accountant. There was 1 (One) unsecured creditor as on 22nd January 2018 with the total credit value of Rs. 1,48,535/- (Rupees One lakh forty eight thousand five hundred and thirty five only) and the Applicant No. 2 Company has paid off the said unsecured Creditor on 28-02-2018 as certified by the Chartered Accountant Certificate dated 06-04-2018. Hence as on date, the Applicant No. 2

Company has no unsecured Creditor as per the Certificate issued by Chartered Accountant.

3. Heard Shri Udayashankar, the learned Senior Counsel along with Ms. Asmita Deshpande. The learned counsel for the Applicant Companies, while reiterating the averments made in the application, has further stated that there are two shareholders in Applicant Companies and a meeting of Shareholders of both the companies be ordered to be convened. There are no secured creditors in any of the Applicant Companies. Therefore, no purpose will be achieved by ordering the meeting of the secured creditors. The learned counsel has further submitted that the Tribunal may direct to convene the meeting of the shareholders of both the companies and unsecured creditors of the Applicant No.1 Company. The Counsel for the Applicant Companies has filed Memo dated 11th May, 2018 suggesting the name of Chairman and also the scrutinizer for convening the meeting of Equity shareholders of both the applicant companies and Unsecured Creditors of Applicant No.1 Company and also mentioning the place and date for convening the meeting.

4. I have considered the pleadings made in the Company Application and also perused all the documents filed along with the Company Application. The Applicant Companies have produced all the relevant materials with regard to the convening of the meetings of the concerned parties involved in the present case. They have filed the proposed Scheme of Amalgamation, which is duly approved by the Board Resolution dated 5th April 2018 and also disclosed that there are 205 (Two hundred and five) unsecured creditors of the Applicant No.1 Company as on 22nd January 2018, it is also duly certified by the Chartered Accountant of Company. Similarly, there are 2 (two) equity shareholders Applicant No.1 and 2 Companies as on 22nd January 2018, which is duly certified by the Chartered Accountant of the Applicant Companies. Therefore the Applicant Companies fulfilled criteria prescribed under sections 230-232 of the Companies Act, 2013, so as to order to convene the meetings as sought for.

5. In view of the above facts and circumstances of the case, the Company Application bearing CA (CAA) No. 29/Bb/2018 is disposed of with the following directions:-

a) It hereby ordered to convene the meetings of the Equity Shareholders of Applicant No. 1 and 2 Companies on Friday the **20th July, 2018, from 10.30 AM to 11.00 AM** and from **12.30 PM to 01.00 PM** respectively at **John Crane Sealing Systems India Private Limited, No.11, 1st Phase, Peenya Industrial Area, Bengaluru – 560 058,** and Mr. Amol Deorukhar as proposed by the Applicant Companies is appointed as Chairperson and Mr. Slirikanth Manda as Scrutinizer for the Meetings of Equity Shareholders.

(b) The meeting of the Unsecured Creditors of the Applicant No.1 Company be convened and held on Friday the **20th July, 2018,** from **11.30 AM to 12.00 PM** at **John Crane Sealing Systems India Private Limited, No.11, 1st Phase, Peenya Industrial Area, Bengaluru – 560 058.** Mr. Amol Deorukhar as proposed by the Applicant Company is appointed as Chairperson and Mr. Shrikanth Manda as Scrutinizer for the Meeting of Equity Shareholders.

(c) The Notice of the Meetings of Unsecured Creditors shall be published in the English Daily "**The Hindu**" and in Kannada Daily "**Udayavani**".

(d) The Applicant Companies or its authorized signatory is directed to issue notice(s) to the Equity Shareholders and Unsecured Creditors of Applicant Companies by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of Scheme of Amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

e) The Applicant Companies to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

f) The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at

any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

g) The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

h) The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this Tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

i) The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

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